

Practice Midterm 1 Solutions

Multiple Choice

1. C
2. C
3. B
4. A
5. B
6. D
7. D
8. D
9. C
10. C
11. C
12. C
13. D
14. D
15. C
16. B
17. C
18. D
19. C
20. B
21. C
22. B

Problem 23

- (a) I'll leave the drawing to you but here are the key equations:

Inverse demand: $P = 11 - 2Q$, intercept 11.

Inverse supply: $P = Q + 2$, intercept 2.

- (b) From $5.5 - 0.5P = P - 2$: $P^* = 5$, $Q^* = 3$.

- (c) At $P = 9$: $Q_d = 1$, $Q_s = 7 \Rightarrow Q = 1$.

- (d) With tax: $P = Q + 5$, solve $11 - 2Q = Q + 5$: $Q = 2$, $P_c = 7$, $P_s = 4$.

Problem 24

P	Q
4	4
5	3
6	3
7	2